REGULATORY COMPLIANCE CIRCULAR

Circular 2025/08 — Revised Risk Appetite Framework — Policy Change for Concentration Risk

Reference:	FRA/CIR/2025/008	**Issue Date:**	05 April 2025
Effective Date:	01 August 2025	**Response Deadline:**	30 June 2025
Issuing Authority:	Financial Regulatory Authority	**Classification:**	MANDATORY

1. Policy Change Overview

The Authority is revising its policy on concentration risk management following the findings of the 2024 Supervisory Review and Evaluation Process (SREP). The previous policy permitted single-counterparty exposures of up to 25% of Tier 1 capital. This circular REDUCES that limit to 15% for all non-sovereign counterparties with immediate effect upon the stated effective date. This represents a significant policy change requiring urgent action.

2. Revised Concentration Limits

The following policy changes take effect from 1 August 2025, superseding all previous guidance on concentration risk: (a) Single counterparty limit reduced from 25% to 15% of Tier 1 capital for non-sovereign exposures; (b) Sector concentration limit reduced from 40% to 30% of total loan book for any single industry sector; (c) Geographic concentration — new limit of 35% of total assets for exposures to any single jurisdiction outside the home country (previously no limit); (d) Connected counterparty groups must be treated as a single counterparty for concentration purposes.

3. Transition Arrangements

Firms with existing exposures exceeding the new limits as of the date of this circular must submit a Concentration Risk Remediation Plan to the Authority by 30 June 2025. The plan must detail how the firm will reduce exposures to within the new limits by 31 December 2025. No new exposures that would breach the new limits may be entered into after 1 June 2025, irrespective of whether existing limits are already exceeded.

4. Reporting Changes

The Concentration Risk Report (Form FRA-CR-001) has been revised to reflect the new limits. The updated form must be used from the reporting period ending 30 September 2025. Firms must report any breach of the new limits to the Authority within 24 hours of identification, regardless of whether a remediation plan is in place.

5. Board Accountability

The Board Risk Committee must formally review and approve the firm's Concentration Risk Remediation Plan before submission to the Authority. Board minutes evidencing this approval must be attached to the submission. The Chief Risk Officer must provide a quarterly attestation to the Board confirming that concentration risk exposures remain within limits.